

****BRIEF - Thursday, May 28, 2026****

HEADLINE OF THE DAY

US-Iran deal in sight: markets in risk-on mode, oil collapses, Warsh joins the Fed. According to Bloomberg and Axios, the United States and Iran have reached an agreement to extend the ceasefire, pending Trump's approval. WTI plunges over 7% below \$90, the S&P 500 jumps +1.69%, and Treasuries gain. Kevin Warsh was sworn in as the new Fed Chair this Friday - a declared hawk replacing Powell. ECB's Lagarde and Lane speak today amid a reassessment of the European rate cut timeline.

GLOBAL SENTIMENT

****VIX** ? 15.98 (-4.31%) | ? Low = confidence**

****DXY** ? 99.01 (-0.32%) | Dollar weak against majors**

****Gold** ? 4,509 (-0.27%) | ? Correcting despite safe haven bid**

****US 10Y** ? 4.46% (-2.17%) | ? Yields declining**

****US 30Y** ? 4.99% (-1.42%) | ? Long end too**

****US 5Y** ? 4.16% (-2.26%) | ? Declining across the curve**

****US 2Y** ? 3.585% (-0.00%) | ? Stable**

****S&P 500** ? 7,558.77 (+1.69%) | ? Strong rally**

****NASDAQ** ? 26,854.86 (+2.22%) | ? Tech outperforms**

****Russell 2000** ? 2,934.20 (+0.47%) | ? Small caps follow**

****WTI** ? 89.67 (-7.17%) | Collapse**

****Brent** ? 93.09 (-10.09%) | Even sharper collapse**

****BTC** ? 72,768 (-5.47%) | Crypto correcting**

****ETH** ? 1,987.72 (-1.70%) |**

****Copper** ? 6.40 (+0.91%) | ? Copper holds up**

****Silver** ? 75.01 (-1.17%) |**

Read: The market is in "peace dividend" mode. The announcement of a US-Iran deal to extend the ceasefire triggers a rally in equities and bonds and a crash in oil. The VIX at 16 reflects assumed complacency. The dollar weakens despite the usual risk-off reaction to oil - a sign that the market interprets the drop in crude as structurally disinflationary. The Brent/WTI divergence (-10% vs -7%) suggests the geopolitical premium is evaporating faster on global crude. Crypto corrects despite the classic risk-on environment, possibly because the drop in oil reduces the inflation narrative that was supporting BTC. Notable exception: copper holds firm (+0.9%), reflecting optimism on global growth if Middle East tensions resolve.

****MACRO****

****US****

Core PCE April at 3.3% YoY (vs 3.3% consensus, 3.2% prior) - The Fed's preferred inflation gauge remains stuck at 3.3%, well above the 2% target. On a monthly basis, Core PCE came in at +0.2% (vs +0.3% expected), a slight relief but insufficient to justify a rate cut. The market had hoped for a lower figure. The market interprets this as "no rate cut before September at the earliest."

Q1 GDP revised to +1.6% (vs +2.0% consensus, +0.5% Q4 2025) - The 2nd estimate of US GDP shows an economy that is slowing but not collapsing. The downward revision relative to the 2.0% consensus is notable and fuels fears of a hard landing. The GDP Price Index at 3.5% confirms persistent inflation. Real Consumer Spending revised to 1.4% (vs 1.6%).

Durable Goods Orders April up +7.9% (vs +4.0% consensus, +1.3% prior) - Explosion in durable goods orders, primarily driven by the defense and aerospace sector. Ex-defense, still +8.1%. Core Durable Goods +1.1% (vs +0.5%). Strong signal for manufacturing despite the global slowdown.

Jobless Claims rise to 215K (vs 211K consensus, 210K prior) - Highest level in a month. Continuing claims at 1,786K are also rising. The US labor market is showing signs of gradual cooling but is not signaling a crisis. Fed's Goolsbee and Jefferson speak today.

Personal Income April flat at +0.0% (vs +0.4% consensus) - Sharp slowdown in household income after +0.5% in March. Personal Spending at +0.5% (in line). The American consumer continues to spend but with stagnant income - drawing down savings, which is not sustainable.

Kevin Warsh becomes Fed Chair - The former Fed governor and Trump favorite was sworn in on Friday. Warsh is seen as a moderate hawk, supportive of fiscal discipline and skeptical of unlimited QE. He inherits a Fed divided between those who want to cut rates (to support growth) and those who think inflation demands higher rates. Musalem stated that the Fed cannot count on the AI boom to solve inflation.

US Consumer Sentiment in May: new all-time low - The war in Iran is fueling inflation concerns, particularly on energy. Households see their purchasing power eroding.

****EU****

ECB's Lagarde and Lane speak today - Amid the publication of the account of the monetary policy meeting (ECB Publishes Account of Monetary Policy Meeting). The market is looking for clues on the rate cut timeline. The ECB has already cut rates to 2.25% but European inflation refuses to converge cleanly toward 2%.

Consumer Inflation Expectation in May at 40.5 (vs 48.8 prior) - Perceived inflation risk down significantly, likely linked to the drop in oil. Consumer inflation expectations remain elevated but the trend is encouraging. Selling Price Expectations at 27.4 (vs 30.2).

Business Climate May at -0.26 (vs -0.27) - Nearly stable, slight improvement. Business & Consumer Survey at 93.5 (vs 93.2). Industrial Sentiment at -8.0 (in line). Services Sentiment at 2.2 (vs 0.2 consensus) - notable positive surprise.

Consumer Confidence May at -19.0 (vs -20.6) - Improvement, the European consumer is breathing slightly easier with the expected drop in energy prices.

Italy: Consumer Confidence at 93.4 (vs 90.1 consensus) and Business Confidence at 87.9 (vs 87.5) - Positive surprises. BTP 10-year at auction at 3.77% (vs 4.09% prior) and 5-year at 3.16% (vs 3.32%). Italian-German spreads are tightening, good news for European periphery stability.

France: PPI April at +2.1% YoY (vs 0.0%) but -2.1% MoM (vs +1.9%) - Divergence between annual and monthly: the annual base effect creates an artificial increase, but the monthly momentum is distinctly deflationary. Positive signal for future inflation.

Spain: Retail Sales April at +0.8% YoY (vs +4.1%) - Sharp slowdown in Spanish consumption. After being the engine of European growth, Spain is showing signs of fatigue.

****UK****

BoE's Breeden speaks today - The market is looking for indications on the Bank of England's rate path. Gilt 5-year at auction at 4.277% (vs 4.651%) - strong demand, yields declining.

UK-Gulf Trade Deal - A significant trade agreement with Gulf countries described as a "monumental achievement" by Bahrain's industry minister. Potential boost for post-Brexit British exports.

****CHINA / ASIA****

Hong Kong: Exports April +42.9% MoM (vs 35.8%) and Imports +44.4% (vs 41.2%) - Explosion in trade in March-April, likely linked to the rerouting of goods through HK due to US tariffs and Middle East tensions. Trade Balance improved to -29.5B (vs -89.1B).

Switzerland: Employment Level Q1 at 5.537M (vs 5.544M) - Slight contraction. SNB Chairman Schlegel speaks today, the Swiss franc under pressure.

South Korea: rates held at 2.50% - Decision in line with expectations. The BoK remains cautious.

****EM****

Brazil: Unemployment Rate April at 5.8% (vs 5.9% consensus, 6.1%) - Resilient Brazilian labor market. PPI at +2.63% MoM (vs 2.28%), IGP-M at +0.84% (vs 2.73%) - notable deceleration in headline inflation. Bank lending at +0.3% MoM (vs 0.9%) - credit deceleration.

South Africa: rates held at 7.00% - PPI April at +4.8% YoY (vs 2.3%) and +3.0% MoM (vs 1.1%) - worrying acceleration in producer inflation.

GEOPOLITICS**Hot**

US-Iran deal to extend the ceasefire - According to Bloomberg and Axios, American and Iranian negotiators have reached an agreement to extend the ceasefire, pending validation by Trump. Israel continues its strikes on Beirut despite the truce. Polymarket gives only an 11.5% chance of a permanent peace agreement by May 31 and a 0.45% chance that transit through the Strait of Hormuz returns to normal before the end of May. The oil market is betting on a swift end to the conflict but investors may regret it.

Israel-Lebanon War - Israel has launched a new wave of bombings on Beirut, complicating diplomatic efforts to extend the truce beyond Iran.

Watch

Putin-Xi talks: gas pipeline revived - Putin and Xi have revived a blocked gas pipeline, a major energy deal amid turbulence in energy markets. Russia and Kazakhstan sign currency and energy swap agreements during Putin's visit. This strengthens the Eurasian energy axis.

Merz attempts to revive Germany - The German chancellor promises to reignite the German economy amid turmoil within his party. Germany remains Europe's weak link.

BP in crisis - Ousted chairman Albert Manifold rejects "lies" about his conduct, BP under intense pressure ahead of the annual general meeting.

Positive

Ukraine ratifies \$105 billion EU loan - European defense stocks benefit directly. Ukraine "turns the tide" according to the FT.

EU's Economic Powers Seek Unity - Europe's major economies are seeking capital market unification, a positive signal for European financial integration.

FX FOCUS

`EUR/USD` ? 1.1659 (+0.33%) | EUR strong
`GBP/USD` ? 1.3440 (+0.05%) | £ stable
`USD/JPY` ? 159.23 (+0.13%) | ¥ weak
`USD/CHF` ? 0.7841 (-0.31) | ? strong against the USD
`EUR/CHF` ? 0.9139 (+0.03%) | Stable
`DXY` ? 99.01 (-0.32%) | Dollar under pressure

Analysis: The dollar is giving up ground despite the usual risk-off reaction to oil. USD/JPY continues to climb toward 160 - the yen is suffering from BOJ policy that remains (for now) the most accommodative in the G10. DXY recovering after dropping to 99 - the dollar still benefits from the rate differential but equity market enthusiasm reduces safe haven demand. The euro benefits from the ECB being perceived as less hawkish than the Fed (Lagarde today), while the Swiss franc maintains its safe haven status despite SNB interventions.

****Pair to watch:** `USD/JPY` - The psychological threshold of 160 is in sight. If the BoJ does not inte**

****COMMODITIES****

****Oil:** WTI 89.67 (-7.17%) | Brent 93.09 (-10.09%)**

Oil collapses on the news of a US-Iran deal. Brent loses 10% - its sharpest drop in months. The WTI-Brent spread tightens sharply. Markets are betting on a gradual return of Iranian oil to the market (Iran could export an additional 1.5-2 mb/d). Polymarket gives a 99.5% chance that the ceasefire holds through May 24. However, the Strait of Hormuz remains blocked according to betting markets (only a 0.45% chance of normalization by end of May). The UK is seeing gasoline prices hit their highest since 2022. British households are set to see energy bills jump 13%.

****Gold:** 4,509 (-0.27%)**

Gold corrects slightly despite the geopolitical backdrop - a weaker dollar and lower yields should support the metal, but the rally of recent weeks is triggering profit-taking. India is raising import taxes on gold and silver to protect the rupee. Gold could resume its rise once the "fog of war" lifts, according to analysts.

****Silver:** 75.01 (-1.17%)**

Silver suffers from the leverage effect of gold's correction with amplified volatility. The gold/silver ratio remains at elevated levels.

? **Copper:** 6.40 (+0.91%)

Copper, "Dr. Copper's barometer," holds firm despite everything - demand driven by the energy transition and AI is supporting prices. The LME notes that commodity trade fragmentation reinforces the value of a global benchmark price.

****Soft:** Aluminum faces a "serious and prolonged supply disruption" (oilprice.com). The American**

TODAY'S AGENDA

08:30 - **FR** PPI April - Actual: +2.1% YoY / -2.1% MoM
09:00 - **ES** Spanish Retail Sales - Actual: +0.8% YoY (vs 4.1%)
09:00 - **CH** Employment Level Q1 - 5.537M
09:50 - **ECB** Lane Speaks
10:00 - **IT** Consumer Confidence - 93.4 (vs 90.1)
10:00 - **IT** Business Confidence - 87.9 (vs 87.5)
11:00 - **ECB** President Lagarde Speaks
11:00 - **EU** Consumer Inflation Expectation - 40.5 (vs 48.8)

11:00 - **EU** Business Climate - -0.26
11:00 - **EU** Industrial Sentiment - -8.0
11:00 - **EU** Services Sentiment - 2.2 (vs 0.2)
11:00 - **EU** Consumer Confidence - -19.0 (vs -20.6)
13:30 - **US** Core PCE Price Index (YoY) April - 3.3%
13:30 - **US** Core PCE Price Index (MoM) April - 0.2%
13:30 - **US** GDP Q1 2nd estimate - 1.6% (vs 2.0%)
13:30 - **US** Durable Goods Orders April - +7.9% (vs 4.0%)
13:30 - **US** Initial Jobless Claims - 215K (vs 211K)
13:30 - **US** Continuing Jobless Claims - 1,786K
13:30 - **US** Personal Spending April - +0.5%
13:30 - **US** Personal Income April - +0.0%
14:00 - **US** Building Permits April - 1.423M
15:00 - **US** Fed Williams Speaks
15:00 - **ZA** Interest Rate Decision - 7.00% (held)

Tomorrow Friday, May 29 (US - adjusted Memorial Day schedule):

Releases delayed or adjusted due to Memorial Day on Monday, May 25 and the US bank calendar.
Watch for Fed speeches and potential data revisions.

Next Week:

Monday, June 2 - US ISM Manufacturing PMI (expected ~49.5)
Tuesday, June 3 - Fed speakers, Eurozone CPI preview
Wednesday, June 4 - ECB rate decision (25bp cut expected to 2.00%), ISM Services PMI
Thursday, June 5 - US Challenger Job Cuts, Initial Claims
Friday, June 6 - **NFP May** (expected +175K, unemployment 4.2%)

DEEP MACRO THEME

Today's dominant narrative is the "**peace dividend**" - a scenario in which the (partial) resolution of geopolitical tensions in the Middle East reshuffles the cards of global asset allocation. But beyond the buzz, what is fascinating is the **trilemma the Fed finds itself in** with the arrival of Kevin Warsh.

On one hand, Warsh is a hawk who believes in monetary and fiscal discipline. On the other, he inherits an economy that is slowing (GDP revised to 1.6%) with a consumer at the end of their rope (flat income, historically low sentiment). Today's inflation data (Core PCE 3.3%, GDP Deflator 3.5%) says "no rate cuts," but the equity markets say "conditions will improve thanks to peace."

The irony is that the US-Iran deal has two contradictory effects on inflation: in the short term, the drop in oil is deflationary (good for consumers, lowers the CPI energy component). But in the medium term, if Iran returns to the oil market and the Strait of Hormuz normalizes, trade flows become more fluid, which stimulates global growth and potentially inflation through the demand channel.

The current market is pricing in nearly 0% chance of a rate cut by September. If the next inflation prints surprise to the downside thanks to the drop in oil, rate cut pricing will explode ? equity rally, dollar decline, gold rise. If, on the other hand, inflation remains sticky despite the drop in oil (core inflation sticking at 3.3%+), the Fed will be trapped and the market will have to price in a light stagflation scenario ? equity correction, real yield increase, strong dollar.

It is this latter scenario that nobody is pricing - and that is where the alpha lies.

CONSENSUS VS REALITY****What the market is pricing:****

The US-Iran deal materializes and the ceasefire is extended ? The deal is on track but Israel continues its strikes on Lebanon. A diplomatic incident could derail everything. Polymarket gives only an 11.5% chance of a permanent agreement by May 31.

Inflation will gradually fall back toward 2% ? Core PCE at 3.3% and the GDP Deflator at 3.5% say otherwise. Core inflation remains stuck. Core PCE at +0.2% monthly is temporary relief but not a trend.

The Fed will cut rates before September ? With Warsh at the helm of the Fed and inflation at 3%+, the chances are below 25%. The market is pricing in almost no cuts before Q4 2026.

Oil stays in the \$85-\$95 range ? The drop is sharp but if the ceasefire materializes, \$85 is conceivable. But a return to \$100+ is possible if the deal falls apart.

US recession is avoided ? GDP at 1.6% is weak but positive. Durable Goods at +7.9% is a strong signal. But the consumer is fragile (income 0%, low sentiment).

USD/JPY continues toward 160+ ? The USD/JPY rate differential is massive (~120bp effective difference). As long as the BoJ does not normalize and the Fed does not cut, the yen remains under pressure.

Risk-on is sustainable as long as oil falls ? This is true in the short term but falls apart if core inflation remains elevated and the Fed stays hawkish.

The alpha:

1. **Short USD/JPY toward 157-158** - Verbal intervention by the BoJ or MoJ on the psychological threshold of 160. The market is complacent about intervention risk. Bullish gap if intervention occurs. Invalidation: 162.50.
2. **Long Gold on a break above 4,600** - Gold is correcting temporarily but the underlying trend remains bullish (central bank purchases, stagflation hedge, weaker dollar). A return to 4,300-4,400 would be a buy. Invalidation: 4,200.
3. **Short WTI around 92-93 toward 82-85** - Oil has priced in peace too far, too fast. The Brent/WTI spread is tightening too quickly. Any news of diplomatic failure or escalation in Lebanon could trigger a \$5-8 retracement. Invalidation: 98.
4. **Long Copper / Short Oil pair trade** - Copper benefits from global growth and the AI/energy transition while oil suffers from the ceasefire. The Copper/Oil ratio should widen. Entry on HG=F.
5. **Long S&P 500 at support 7,450-7,500** - As long as the ceasefire holds and economic data does not collapse (Durable Goods +7.9%), the market should continue to rise. US earnings season is solid and AI is driving the rally. Invalidation: 7,200 (credit crisis or geopolitical reversal).

MERTON'S TAKE

We are in a "**false dichotomy**" regime - the market believes it's either peace (risk-off equities ? rally) or war (oil ?, risk-off bonds ? decline). The reality is more nuanced. The biggest mistake everyone is making is automatically associating the drop in oil with risk-on.

Here is what I see: the drop in oil is **better for consumers than for energy companies**, which creates a massive sector divergence. Small caps (Russell +0.47%) do not benefit as much from cheap oil as the mega-cap tech stocks that are carrying the S&P. A handful of stocks are carrying the market - and it won't last.

My conviction for this week: **the risk of light stagflation is underestimated**. Inflation remains elevated (Core PCE 3.3%, GDP Deflator 3.5%), growth is slowing (GDP 1.6%), the consumer is faltering (income 0%), and the Fed has a new hawkish chair. And everyone is partying on the S&P at 7,558.

The trade of the week is a **barbell**: long gold and copper (stagflation hedge and structural growth), short USD/JPY (intervention risk), and let the S&P run as long as the ceasefire holds but with protective puts below 7,400. Oil will remain volatile - don't catch the falling knife.

*Current position:** Long Gold > Long Copper > Long S&P (with protection) > Short USD/JPY > Flat Oil (waiting for a bottom). Reduce crypto exposure as long as oil dominance remains uncertain.

*Key levels to watch:**

S&P 500: Support 7,450 / Resistance 7,650

Gold: Support 4,350 / Resistance 4,600

USD/JPY: Support 155 / Resistance 160 (intervention zone)

WTI: Support 85 / Resistance 95

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